

Chapter Review

1-6m Take It Further

TIF 1-1

Business versus Personal Expenses

Marco Brolo is one of three partners who own and operate Silkroad Partners, a global import–export business. Marco is the partner in charge of recording partnership transactions in the accounts. On his way to work one day, Marco’s car broke down. At the repair shop, Marco learned that his car’s engine had significant damage, and it will cost over \$2,000 to repair the damage. He does not have enough money in his bank account to cover the cost of the repair, and his credit cards are at their limit. This car is the only form of transportation that Marco has to get to and from work every day. He does not use his car for any business travel.

After considering his options, Marco decides to take \$2,000 from the partnership for the repair and record it as an expense of the partnership. He believes that this is appropriate since he needs his car to get to work every day.

1.  Is Marco behaving ethically? Why?
2.  Who is affected by Marco’s decision?
3.  What other alternatives might Marco consider?

TIF 1-2

Loan from Bank

Colleen Fernandez, president of Rhino Enterprises, applied for a \$175,000 loan from First Federal Bank. The bank requested financial statements from Rhino Enterprises as a basis for granting the loan. Colleen has told her accountant to provide the bank with a balance sheet. Colleen has decided to

omit the other financial statements because there was a net loss during the past year.

In groups of three or four, discuss the following questions:

1. Is Colleen behaving in a professional manner by omitting some of the financial statements?
2.
 - a. What types of information about their businesses would owners be willing to provide bankers? What types of information would owners not be willing to provide?
 - b. What types of information about a business would bankers want before extending a loan?
 - c. What common interests are shared by bankers and business owners?

TIF 1-3

Real-World Annual Report

In teams, select a public company that interests you. Obtain the company's most recent annual report on Form 10-K. The Form 10-K is a company's annually required filing with the Securities and Exchange Commission (SEC). It includes the company's financial statements and accompanying notes. The Form 10-K can be obtained either (a) from the investor relations section of the company's website or (b) by using the company search feature of the SEC's EDGAR database service found at www.sec.gov/edgar/searchedgar/companysearch.html.

Based on the information in the company's most recent annual report, answer the following questions:

1. What is the official name of the company?
2. Where are the company's principal offices located?
3. Who is the company's chief executive officer?
4. Is the company primarily a service, retail, or manufacturing business?
5. How does the company describe its business?
6. Which financial statements are included in the annual report?

TIF 1-4

Causes of Fraud

There are two common causes of business and accounting fraud:

- a failure of individual character, and
- a culture of greed or ethical indifference within an organization.



Write a brief memo describing how these two factors could lead to accounting fraud.

TIF 1-5

Net Income

On January 1, 20Y5, Dr. Marcie Cousins established Health-Wise Medical, a medical practice organized as a corporation. The following conversation occurred the following August between Dr. Cousins and a former medical school classmate, Dr. Avi Abu, at an American Medical Association convention in Seattle:

Dr. Abu: Marcie, good to see you again. Why didn't you call when you were in Miami? We could have had dinner together. *Dr. Cousins:* Actually, I never made it to Miami this year. My husband and kids went up to our Vail condo twice, but I got stuck in Jacksonville. I opened a new consulting practice this January and haven't had any time for myself since. *Dr. Abu:* I heard about it...Health...something...right? *Dr. Cousins:* Yes, Health-Wise Medical. My husband chose the name. *Dr. Abu:* I've thought about doing something like that. Are you making any money? I mean, is it worth your time? *Dr. Cousins:* You wouldn't believe it. I started by opening a bank account with \$25,000, and my July bank statement has a balance of \$80,000. Not bad for six months—all pure profit. *Dr. Abu:* Maybe I'll try it in Miami! Let's have breakfast together tomorrow and you can fill me in on the details.



Comment on Dr. Cousins' statement that the difference between the opening bank balance (\$25,000) and the July statement balance (\$80,000) is pure profit.

Chapter 1: Introduction to Accounting and Business: 1-6m Take It Further

Book Title: Financial and Managerial Accounting

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